

FEDERAL & TRUST COMPLIANCE COMMAND CENTER

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Audited Entity:	Jeffrey Walsh	Investigation ID:	INV-CUST-0496
KYC Status:	FAILED	Net Worth:	\$89,814
Residence Country:	Germany	Politically Exposed (PEP):	YES
Calculated Risk Score:	99.38/100	Assigned Severity:	CRITICAL

DETECTED RISK SIGNALS & RED FLAGS

Code	Risk Rule Triggered	Weight	Flag Details
R01_LARGE_TRANSACTION	Large Transaction Alert	20	Transaction TX-011122 of \$59,912.00 exceeds limit.
R03_STRUCTURED	Transaction Structuring	30	Structuring warning: 3 transactions in \$9,000-\$9,999 range within 6.0 hours. Amounts: [9959.0, 9951.0, 9949.0]
R04_CRYPTOMERCHANT	Crypto Asset Merchant Transaction	15	Transaction TX-011123 to crypto merchant: CoinMixer.
R05_CASH_INTENSIVE_MERCHANT	Cash-Intensive Merchant Transaction	15	Cash-intensive merchant activity: Jones Ltd Casino (Casino & Gambling).
R06_HIGH_RISK_MERCHANT	High-Risk Merchant Association	20	Transaction with merchant in high-risk country: Tran Group (Iraq).
R07_SANCTION_COUNTRY	Sanctioned Jurisdiction Link	35	Transaction TX-011119 routed to sanctioned jurisdiction: Syria.
R08_AML_WATCHLIST	AML Watchlist Match	40	Active listing on compliance watchlist: OFAC SDN list match.
R09_PEP_CUSTOMER	Politically Exposed Person (PEP)	25	Customer matches Politically Exposed Person (PEP) list.
R10_NEGATIVE_NEWS	Adverse Media Match	20	Adverse media match: 'Federal authorities open inquiry into financial transactions of Jeffrey Walsh due to suspected asset concealment.' (Reuters).
R11_INCOMPLETE_KYC	Incomplete KYC Profile	15	KYC Document Status: FAILED. Expiry: 2026-04-18.
R13_MULTIPLE_FAILED_LOGINS	Multiple Failed Logins	15	3 login failures recorded within 0.2 hours.
R14_IMPOSSIBLE_TRAVEL	Geographic Velocity Anomaly (Impossible Travel)	30	Geographic hop: Josestad (Germany) -> SanctionCity (Iran) within 5.0 minutes. Required Speed: 87,132.0 km/h.
R15_VPN_LOGIN	VPN or Proxy Access	10	Login LOG-05593 routed through virtual private network (VPN).
R16_FOREIGN_LOGIN	Foreign Login Activity	15	Session opened in country 'Iran', different from home country 'Germany'.
R18_HIGH_TRANSACTION_FREQUENCY	High Transaction Frequency Burst	15	Transaction volume burst: 8 transactions in one day (Mean: 1.8, Limit: 5.5).
R21_LARGE_BALANCE_CHANGE	Severe Balance Depletion	20	Account ACC-00708 balance depleted by 91.6% in one day (Outflow: \$62,065.00).

R23_ROUND_NUMBER_PAYMENT	Round Number Transaction	10	Large exact round transaction amount processed: \$15,000.00 (ID: TX-011128).
R24_MERCHANT_BLACKLIST	Blacklisted Merchant Direct Hit	25	Direct transaction hit with blacklisted merchant entity: Jones Ltd Casino.
R25_EXTERNAL_FRAUD_ALERT	External Fraud Alert Triggered	20	External flag received from agency Interpol: High-Risk Merchant Interaction (CRITICAL).
R26_COUNTRY_RISK	High-Risk Jurisdiction Association	15	Transaction TX-011141 routed to designated high-risk country: Somalia.
R27_LOCATION_MISMATCH	Login-to-Transaction Location Mismatch	20	Location mismatch: login at Josestad (Germany) but transaction routed from East Douglas (Syria) within 1 hour.
R28_ACCOUNT_AGE	Rapid Activity on New Account	15	New account (1 days old) initiated high-value transaction of \$27,230.00.
R30_BEHAVIOURAL_ANOMALY	Off-Hours High-Value Activity	20	Transfer of \$59,912.00 executed at 02:10 during sleeping hours.

AI-POWERED AUDIT DECISION & NARRATIVE

EXECUTIVE COMPLIANCE RISK REPORT **TO:** Global Risk & Compliance Committee **FROM:** Senior Banking Compliance Officer & Financial Crime Intelligence Analyst **DATE:** June 6, 2026 **SUBJECT:** Critical AML/Sanctions Risk & Immediate Account Freeze – Jeffrey Walsh (CUST-0496) **STATUS: CRITICAL RISK (Score: 99.38/100) – IMMEDIATE ACTION REQUIRED**

1. EXECUTIVE SUMMARY

An urgent compliance review of Customer ID **CUST-0496 (Jeffrey Walsh)** has identified an unacceptable level of financial crime, sanctions, and money laundering risk. The customer is an 18-year-old resident of Germany with a declared net worth of \$89,814, whose account was opened just days prior to this review.

The customer's profile presents a compounding matrix of high-risk indicators: an active **OFAC SDN (Specially Designated Nationals) list match**, **Politically Exposed Person (PEP)** status, a **failed KYC status**, and a critical **Interpol fraud alert**. Furthermore, the account has exhibited severe transactional and technical anomalies, including structuring, direct interactions with sanctioned jurisdictions (Syria, Iran, Cuba, North Korea, and Somalia), and clear signs of account takeover (ATO) or professional money mule activity.

Immediate Compliance Action is Required: The bank must immediately freeze all associated accounts and assets, block all access credentials, and file an expedited Suspicious Activity Report (SAR) / Suspicious Transaction Report (STR) with the appropriate Financial Intelligence Units (FIUs).

2. RISK EXPLANATION & DETECTED SIGNALS

The risk signals triggered by CUST-0496 are highly correlated and point to active money laundering, sanctions evasion, and potential cybercrime:

* **Sanctions & Watchlist Violations (Critical):** * **OFAC SDN Match:** The customer matches an active listing on the OFAC SDN list, legally prohibiting the bank from facilitating any transactions for this individual. * **Sanctioned Jurisdictions:** Multiple transactions and logins have been routed directly through heavily sanctioned countries, including Syria (TX-011119), Iran, Cuba, and North Korea. * **High-Risk Jurisdictions:** Transactions were also routed to Somalia (TX-011141) and Iraq (via merchant Tran Group). * **Identity & Profile Discrepancies:** * **Failed KYC:** The customer's KYC document status is marked as "FAILED" (Expiry: 2026-04-18). * **PEP Status & Age Anomaly:** At just 18 years old, the customer is flagged as a PEP with a net worth of \$89,814, which is highly anomalous and suggests the account may be a front or a "mule" account for a senior PEP's illicit assets. * **Adverse Media:** A Reuters report explicitly states that federal authorities have opened an inquiry into

Jeffrey Walsh for "suspected asset concealment." * **Transactional & Velocity Anomalies:** * **Rapid Balance Depletion:** The account (ACC-00708) was depleted by 91.6% (\$62,065.00) in a single day. * **Structuring (Smurfing):** The system detected 3 transactions within the \$9,000–\$9,999 range within a 6-hour window (Amounts: \$9,959.00, \$9,951.00, \$9,949.00), a classic pattern designed to evade the \$10,000 Currency Transaction Report (CTR) threshold. * **High-Risk/Blacklisted Merchants:** Transactions were routed to *CoinMixer* (a cryptocurrency mixing service used to obfuscate transaction trails) and *Jones Ltd Casino* (a blacklisted, cash-intensive gambling entity). * **Off-Hours & Round Numbers:** A large transfer of \$59,912.00 was executed at 02:10 AM (sleeping hours), and a round-number payment of \$15,000.00 (TX-011128) was processed, both of which are key behavioral anomalies. * **Technical & Cyber Anomalies:** * **Geographic Velocity Anomaly (Impossible Travel):** The system recorded a login from Josestad, Germany, followed by a login from SanctionCity, Iran, just 5 minutes later. This would require a travel speed of 87,132 km/h, indicating either credential sharing, VPN manipulation, or concurrent multi-location access. * **Brute-Force Login Patterns:** Multiple instances of 3 consecutive failed logins within minutes, immediately followed by a successful login (on 2026-05-28, 2026-06-03, and 2026-06-04), strongly indicating brute-force credential stuffing or account takeover attempts. * **VPN & Location Mismatch:** Persistent use of VPNs and severe mismatches (e.g., logging in from Germany while executing a transaction routed from Syria within the same hour).

3. REGULATORY IMPACT & REASONING

Facilitating continued activity on this account exposes the institution to catastrophic legal, regulatory, and reputational damage:

* **OFAC Sanctions Regulations:** Under US federal law, failing to freeze the assets of an individual matching the OFAC SDN list carries strict liability. The bank could face multi-million dollar fines, loss of correspondent banking relationships, and criminal prosecution. * **Anti-Money Laundering (AML) / Bank Secrecy Act (BSA):** The transaction structuring pattern (\$9,959, \$9,951, \$9,949) is a direct violation of 31 U.S.C. § 5324, which prohibits structuring transactions to evade reporting requirements. The bank has a regulatory obligation to detect, prevent, and report this behavior. * **FATF PEP Guidelines & EU 5th/6th AML Directives:** As a PEP with failed KYC, this customer represents the highest tier of AML risk. Standard and Enhanced Due Diligence (EDD) have failed, meaning the account should never have been permitted to operate. * **FinCEN & Interpol Guidance on Crypto Mixers:** Transacting with entities like *CoinMixer* is flagged by FinCEN as a primary money laundering concern (under Section 311 of the USA PATRIOT Act), as these services are primarily utilized by cybercriminals and state-sponsored actors (e.g., North Korea's Lazarus Group) to launder stolen funds.

4. DETAILED EVIDENCE TIMELINE

The chronological timeline reveals a highly suspicious, rapid-fire sequence of events immediately following account creation:

* **2026-05-28 06:10:45 – 06:20:45:** Brute-force attempt on device `DEV-00623` in Germany (3 failed logins). * **2026-05-28 06:22:58:** A deposit of **\$11,510.00** is routed from **Syria** (Sanctioned Jurisdiction). * **2026-05-28 06:25:45:** A successful login is recorded from **Iran** (VPN: True) on `DEV-00623`—representing an impossible travel velocity from Germany within 5 minutes. * **2026-05-30 02:25:45:** Successful login from **Cuba** (VPN: True) using device `DEV-00621`. * **2026-05-31 02:10:00:** An off-hours transfer of **\$59,912.00** is executed from Germany. * **2026-05-31 12:33:58:** A payment of **\$2,153.00** is routed to **North Korea** (Sanctioned Jurisdiction). * **2026-06-01 14:32:58:** A transfer of **\$9,354.00** is routed to **Cuba**. * **2026-06-02 00:25:45:** Successful login from **North Korea** (VPN: True) using `DEV-00623`. * **2026-06-02 07:43:58:** A withdrawal of **\$8,671.00** is executed in **Syria**. * **2026-06-02 12:54:58:** A round-number transfer of **\$15,000.00** is executed. * **2026-06-03 & 2026-06-04:** Repeated brute-force login patterns (3 failures followed by success) occur on both registered devices (`DEV-00621` and `DEV-00623`). * **2026-06-05 10:26:58:** A deposit of **\$9,959.00** is made in Germany, initiating the structured transaction sequence.

5. INVESTIGATION CONFIDENCE LEVEL

CONFIDENCE LEVEL: HIGH

Justification: The risk rating is supported by direct, un-aliased matches across multiple independent, highly reliable data sources. The technical logs (IP addresses, device IDs, and VPN flags) perfectly align with the transactional anomalies (sanctioned country routing, structuring, and crypto-mixer usage). This is further corroborated by external intelligence, including a direct Interpol critical fraud alert and a Reuters media report detailing active federal investigations into the

customer for asset concealment.

6. RECOMMENDED IMMEDIATE ACTION

1. **Administrative Freeze:** Place an immediate, hard administrative freeze on account `ACC-00708` and all other assets linked to Jeffrey Walsh (CUST-0496). Block all outgoing transfers, withdrawals, and incoming deposits. 2. **Credential Revocation:** Terminate all active sessions and revoke digital banking access for devices `DEV-00623` and `DEV-00621` to prevent further unauthorized access or account depletion. 3. **File Expedited SAR/STR:** File an urgent Suspicious Activity Report with FinCEN (US) and the FIU Germany (Zentralstelle für Finanztransaktionsuntersuchungen), citing sanctions evasion, transaction structuring, and potential account takeover/money laundering. 4. **OFAC Notification:** File a Report of Blocked Property with OFAC within the mandatory 10-business-day window regarding the SDN match and blocked transactions. 5. **Relationship Termination:** Initiate formal exit procedures to permanently close the customer relationship, ensuring compliance with "tipping-off" regulations (do not notify the customer of the active investigation or the SAR filing).

7. SUGGESTED INVESTIGATION STEPS FOR ANALYSTS

1. **OFAC & PEP Identity Verification:** Perform a manual, multi-factor verification of the "Jeffrey Walsh" SDN match. Compare the customer's metadata (date of birth, place of birth, national identification numbers) against the official OFAC SDN XML database to rule out a false positive. 2. **Source of Wealth (SoW) / Source of Funds (SoF) Audit:** Request and analyze the onboarding documentation to determine how an 18-year-old student/individual established a net worth of ~\$90k and managed to route over \$100k in high-value transactions within a 1-day-old account. 3. **Device and IP Forensics:** Conduct a deep-dive forensic analysis on devices `DEV-00623` and `DEV-00621`. Trace the MAC addresses, IMEI numbers, and the specific VPN service providers/exit nodes used to access the accounts from Iran, Cuba, and North Korea. 4. **Correspondent Bank & Counterparty Tracing:** Identify the beneficiary institutions for the outgoing transfers of \$59,912.00, \$15,000.00, and the structured payments. Issue urgent "Recall of Funds" requests to the receiving banks, citing suspected fraud and sanctions violations.

PREPARED BY:

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APPROVED BY:

AML Audit Officer / Compliance Director

Date: _____